

Customer Churn Business Understanding Report

Executive Summary

Customer churn represents one of the most critical challenges for subscription-based telecommunications businesses. Retaining existing customers is significantly more cost-effective than acquiring new ones. This report provides an analytical breakdown of customer demographics, contract types, service adoption, and payment preferences to help management minimize customer attrition and optimize long-term value retention.

Part 1: Business Answers to Key Questions

1. What does the customer base look like?

- **Total Profile Size:** The analyzed base consists of 7,043 customers.
- **Overall Churn Rate:** The total baseline churn rate is 26.54%.
- **Demographics:** The customer base is split evenly by gender, with Senior Citizens making up a smaller minority (~16%).

2. Which segments have the highest churn?

- **Senior Citizens:** Experience a disproportionately high churn rate of 41.68%.
- **Households Without Dependents/Partners:** Higher vulnerability; non-partners have a 32.96% churn rate vs. 19.66% for those with partners.

3. Does contract type influence retention?

- **Month-to-month:** Suffers from an exceptionally high churn rate of 42.71%.
- **One-year:** Drops drastically to 11.27% churn.
- **Two-year:** Secures maximum loyalty with a churn rate of only 2.83%.

4. Does tenure affect loyalty?

- **At-Risk Window:** The majority of churn occurs early, with churned customers having a median tenure of only 10 months.
- **Retained Customers:** Loyal customers exhibit a median tenure of 38 months.

5. Which services influence churn?

- **Internet Service Type:** Fiber Optic customers have a 41.89% churn rate, compared to 18.96% for DSL.
- **Add-ons:** Lack of security features (Online Security/TechSupport) correlates with churn rates ~41.6%, while adoption correlates with rates ~14-15%.

6. Which payment methods have higher churn?

- **Electronic Check:** Experiences an alarming 45.29% churn rate.
- **Automated/Other:** Bank transfers, credit cards, and mailed checks experience vastly superior retention (churn < 20%).

Part 2: Strategic Actions for Management

- **Incentivize Long-Term Commitments:** Shift short-term subscribers onto annual agreements via loyalty incentives.
- **Targeted Onboarding:** Launch a "First 90 Days" success program to bridge the early-tenure churn gap.
- **Overhaul Fiber Proposition:** Investigate technical and pricing barriers for Fiber Optic packages.
- **Promote Security Bundles:** Proactively include security and support services in entry-level tiers.
- **Automate Payments:** Migrate electronic check users to automatic billing through one-time incentives.